GPE Lecture 2

Trade Policy and Regulation

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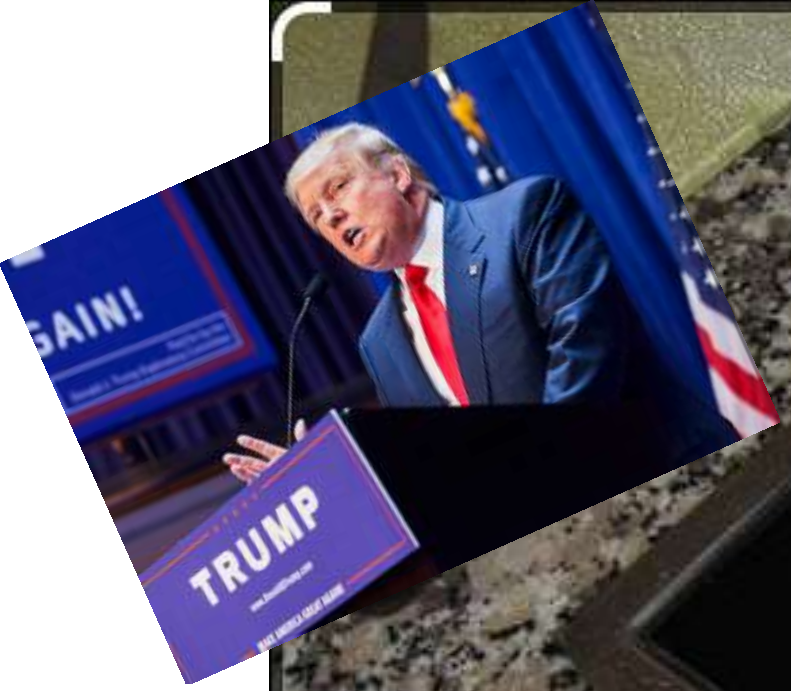

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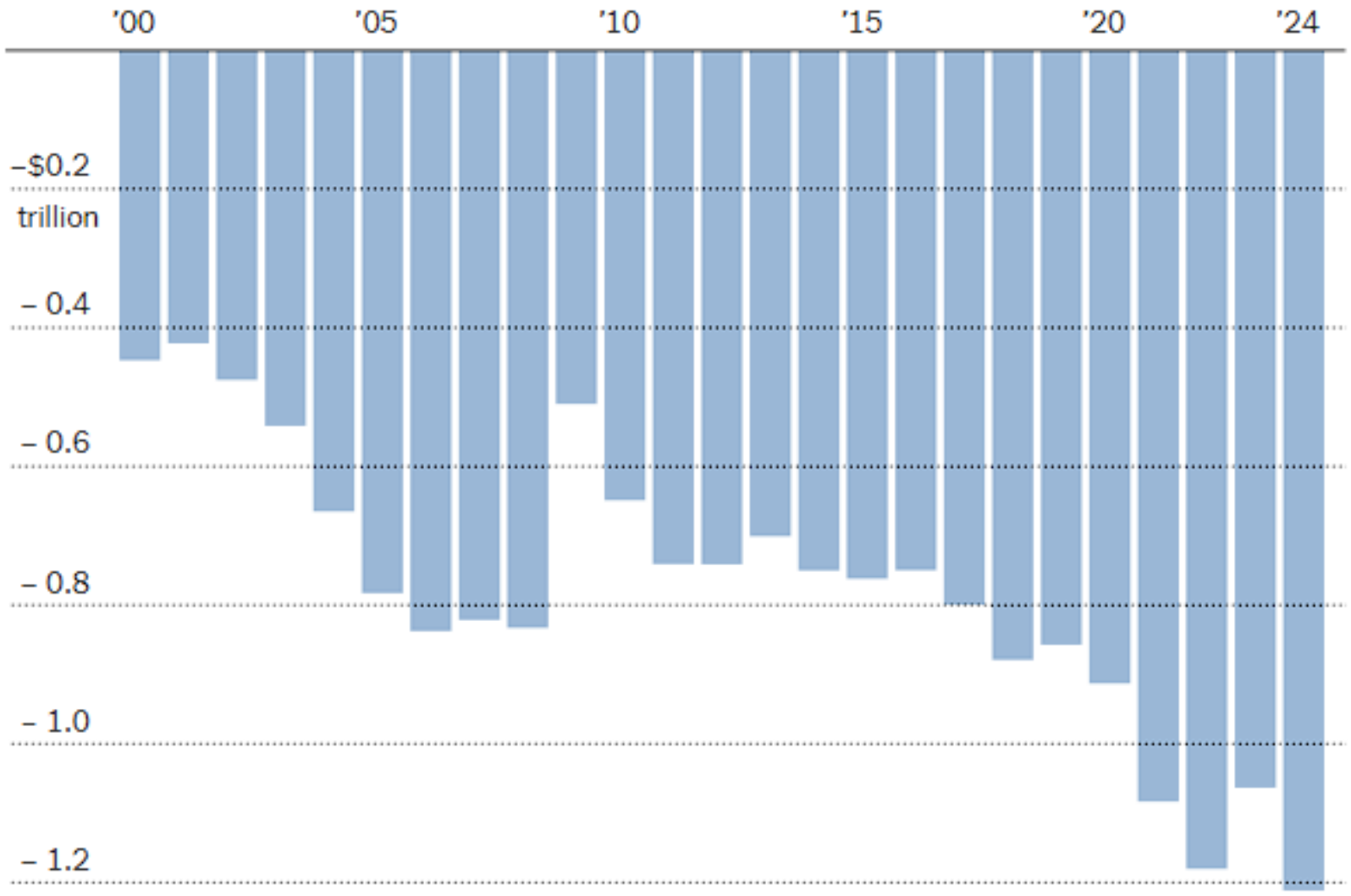
U.S. Trade Deficit Hit Record in 2024 as Imports Surged

Balance of Trade

Annual U.S. trade deficits in goods.



Source: Bureau of Economic Analysis • By The New York Times

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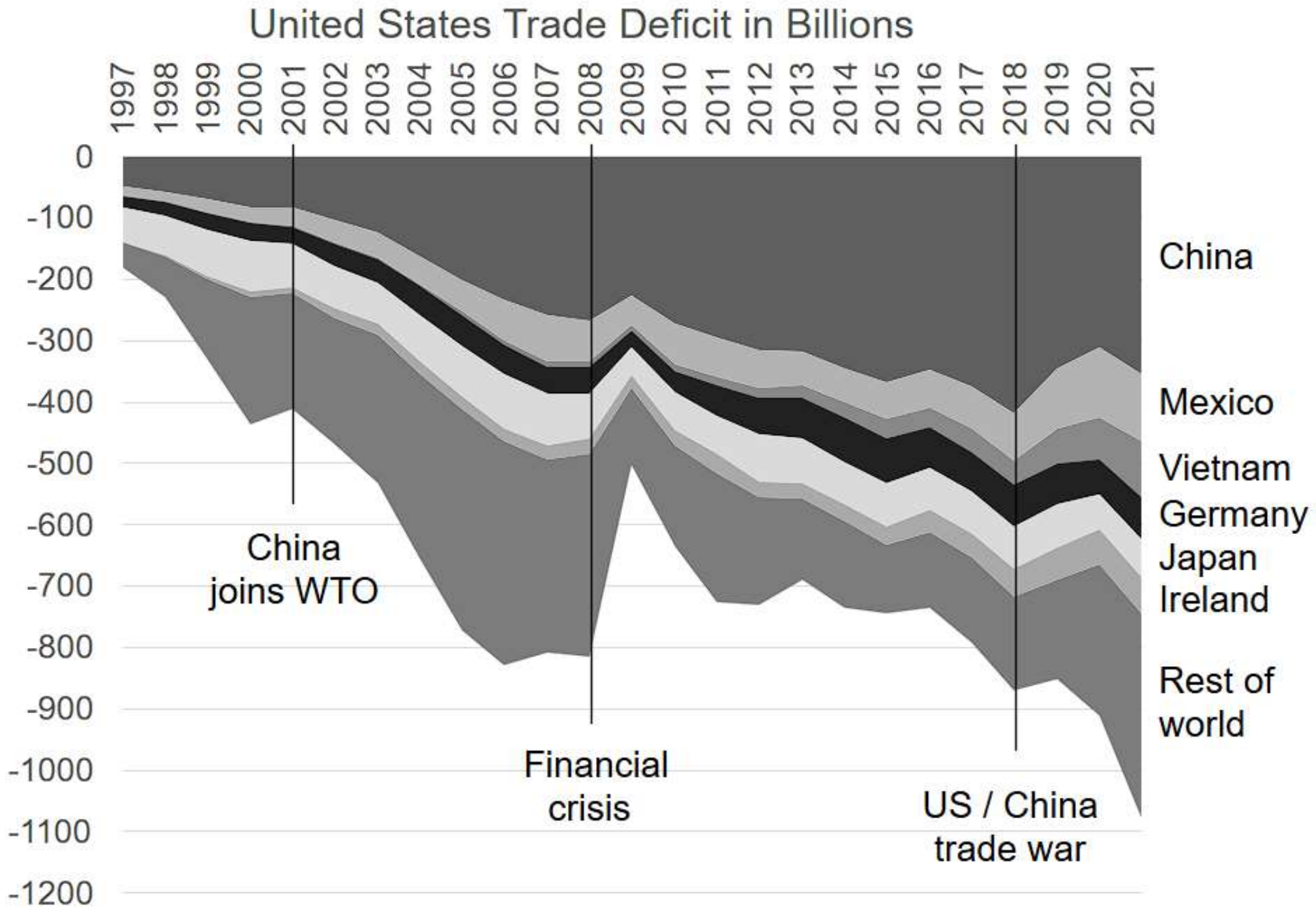

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Overview of Today's Lecture

- Last week we looked at why a country might move from autarky to trade
- We discussed things like absolute and comparative advantage, opportunity cost, and gains from trade
- This gives a theoretical rationale for why countries might want to engage in international trade
- This week, we will discuss how countries actually <u>regulate cross-border trade</u>
- In Chapter 7 we will look at *national* policies regarding international trade
- We will look at **tariffs** and **quotas**, two of the main ways that countries regulate international trade

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Overview of Today's Lecture

- In Chapter 8 we begin to look at *international* regulation of cross-border trade
- We will look at some economic functions of major international regulators and regulations on trade, including the **WTO** and the **GATT** regime, which were set up by the Bretton Woods system in WWII
- And from Chapter 9 we will continue this theme by looking at PTAs: Preferential Trading Agreements. This includes bilateral and multi-lateral trading agreements. Some famous multi-lateral trading agreements include the EU, ASEAN and NAFTA
- We will then provide a basic economic model of how a PTA affects the economies of participating states

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Trade Policy: National Regulation of Trade

- Purpose of Chapter 7:
- To recognize that there are reasons why countries might want to limit trade
- These tend to be due either to cultural opposition (e.g., Japan has been a rice farming country for centuries, and it is embedded in the culture)
- Or due to sector or factor opposition: a strong industry, or a strong factor (capital, labour) will recognize that they will lose by trade, and therefore will oppose liberalization (as we saw with HO model)
- If there are strong reasons for one sector to oppose (or promote) international trade, then we can expect the government to intervene
- Another factor is if the country feels that its trading partner is manipulating trade in an "unfair" way. (Which happens all the time.)

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Trade Policy

- If you pursue a career in international economic affairs policy, then you can expect to assess the impacts of government on trade flows:
- What will be the impacts of liberalization?
- What are the impacts of trade restrictions?
- Who will be winners and losers, and by how much?
- This chapter is written to help you to make these types of assessments
- This chapter will look at the different policy options governments use to limit trade
- We will look at the effects of a **tariff** and a **quota**

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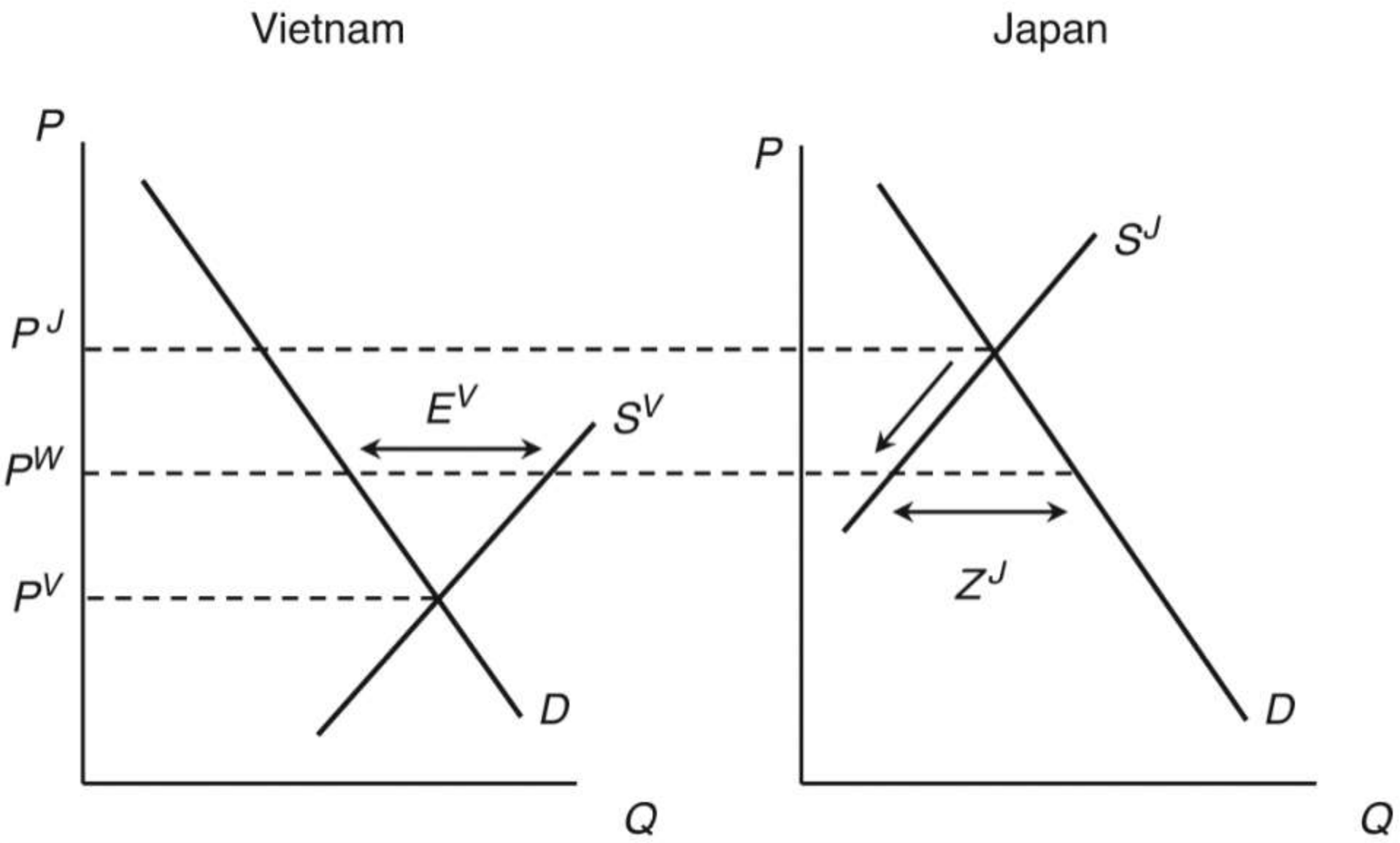

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Absolute Advantage and Protection

- Last week we learned about absolute advantage
- This is when a country will want to export to another one, because it can produce things much more cheaply and efficiently
- The price will rise for the cheap country
- The price will also go down in the expensive country—if they allow free trade
- But… the producers in the expensive country will naturally want to limit the impacts of imports, because this will drive many of them out of business

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Absolute Advantage

- Remember: in this model demand is assumed to be the same
- Differences in supply arising from different factor endowments (HO model)
- World price will settle between two autarky prices
- Excess supply will be exported—great for suppliers in cheap country
- Excess demand will be made up by imports—bad for suppliers in expensive country
- In this graph, how many suppliers in Japan will be put out of business? Can you pinpoint the group who will survive?
- With new price, endangered suppliers will lobby the government to protect vs. imports
- Demands for protection are nearly universal from threatened groups

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Trade Policies

- The following table lists the major types of trade policy, which a government can enact, in order to limit international trade
- (And protect domestic suppliers)
- This is called “Import Protection”
- It’s amazing how many different types of policies there can be—and this is often done deliberately: politicians don’t want to look like they are limiting free trade, and yet they find clever, subtle ways to do it
- The most obvious protection is simply for the government to charge importers a tax, which makes their goods less competitive

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Trade Policies

- Tariffs are often illegal, or very obvious, and can start a **trade war**
- Tariff = tax on imports. Very common internationally
- Types of tariff:
  - Specific tariff: fixed tax per physical unit of import
  - Ad valorem is tax on value
- Because tariffs are most transparent policies, they are considered less subject to corruption
- **Dumping**: when a country/company sets prices lower internationally than domestically (for the purpose of driving international producers out of business)
- (The EU accuses China of doing this [via subsidies] with EVs… https://ec.europa.eu/commission/presscorner/detail/en/ip_24_5589), and has thus imposed Countervailing Duties (see next slide)
- The following is a list of the major types of Non-Tariff Measures

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Category	Measure	Description
Tax-like measures	Anti-dumping (AD) duties	Tariff-like charges imposed on imports that are deemed by the imposing government to have been "dumped" or sold at "less than fair value" by the exporter.
	Countervailing duties (CVDs)	Tariff-like charges imposed on imports that are deemed by the imposing government to have been "unfairly" subsidized by the exporting country government.
	Temporary import surcharges	Extra import tariffs imposed in "emergency" circumstances of various kinds.
	Variable levies	Import tariffs whose size depends on the price of the imported good. This is usually to help maintain a certain level of domestic price, particularly in agricultural sectors.
Cost-increasing measures	Standards and technical regulations (STRs) or technical barriers to trade (TBTs)	A large set of measures, including certification guidelines, performance mandates, testing procedures and labeling requirements designed to contribute to consumer safety, environmental protection, national security, product interoperability, and other goals.
	Sanitary and phytosanitary (SPS) requirements	Technical barriers to trade in the agricultural arena designed to protect plant, animal, and human health.
	Prior import deposits	Non-interest-bearing deposits equal to a percentage of the value of an imported good that must be deposited into a central bank for a specified amount of time.
	Customs procedures	Inspection and customs clearance procedures, which can increase costs of imports and impose delays.
	Reference or minimum import prices	Official prices used to calculate import tariffs.
Quantitative measures	Import quota	A maximum import quantity set for a particular good.
	Tariff rate quota (TRQ)	Involves two tariff levels: a lower tariff for levels of imports within the quota and a higher tariff for levels of imports above the quota.
	Voluntary export restraint (VER)	An export quota that is "voluntarily" applied by the exporting country.

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Category	Measure	Description
	Import licensing	The requirement that a license be obtained from the importing country government before a product can be imported.
	Foreign exchange controls	The allocation of foreign exchange by the importing country government among potential importers as a way to limit imports.
	Sanctions and embargoes	Export bans and trade embargoes imposed on countries for political reasons.
	Local or domestic content requirements	A requirement that imported goods must contain a minimum amount of intermediate products from the importing country.
	Import or export balancing requirements	A requirement that a firm importing intermediate products must export a certain amount.
Government procurement practices		The myriad processes that governments employ in determining their contract procurements and the posture of these contracts towards imported goods.

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Welfare and Revenue Effects

- Every measure above, whether tariff or non-tariff, will have differing effects on various sectors of the domestic (and international) market
- So it becomes a trade policy analyst's job, to analyse the welfare and revenue effects of the government action
- We have seen graphs like this before
- Normally though, we tend to analyze consumer and producer surplus
- When you have tariffs involved, of course, the government now takes a cut: they get money by imposing taxes on importers—the importers have to pay this fee, which is collected by the customs agency, and passed to the treasury
- This is why we analyse both welfare—and—revenue effects, when we discuss tariffs and tax-like measures

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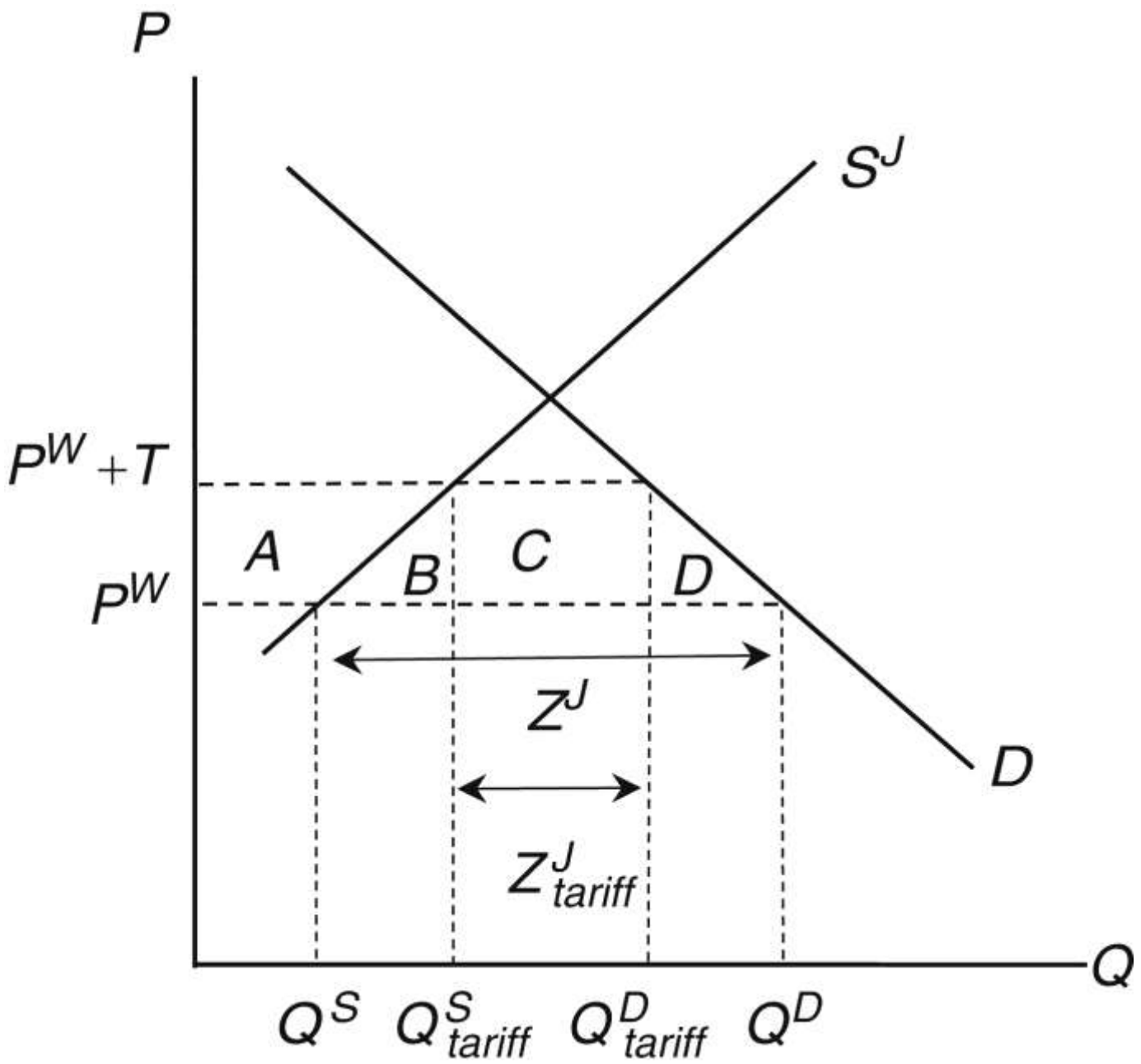

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Tariff Graph

- This is graph 7.2: Effects of a tariff on Japan's imports of rice
- This is interesting, because we've already analyzed the welfare effects of Japan opening up to trade—last week
- Now, we will look at the next step, which is to look at the welfare (and revenue) effects of what happens when the government tries to limit these imports, by introducing a tariff
- Price with a tariff pushes the domestic price partway between autarky and world price
- The level of imports will decrease
- Domestic suppliers will gain somewhat
- Question is: which 'shapes' are gains and losses for whom?
- Consumer surplus falls by ABCD (all left of demand curve and below new price)
- Producer surplus has increased by A only (left of S curve and between prices)

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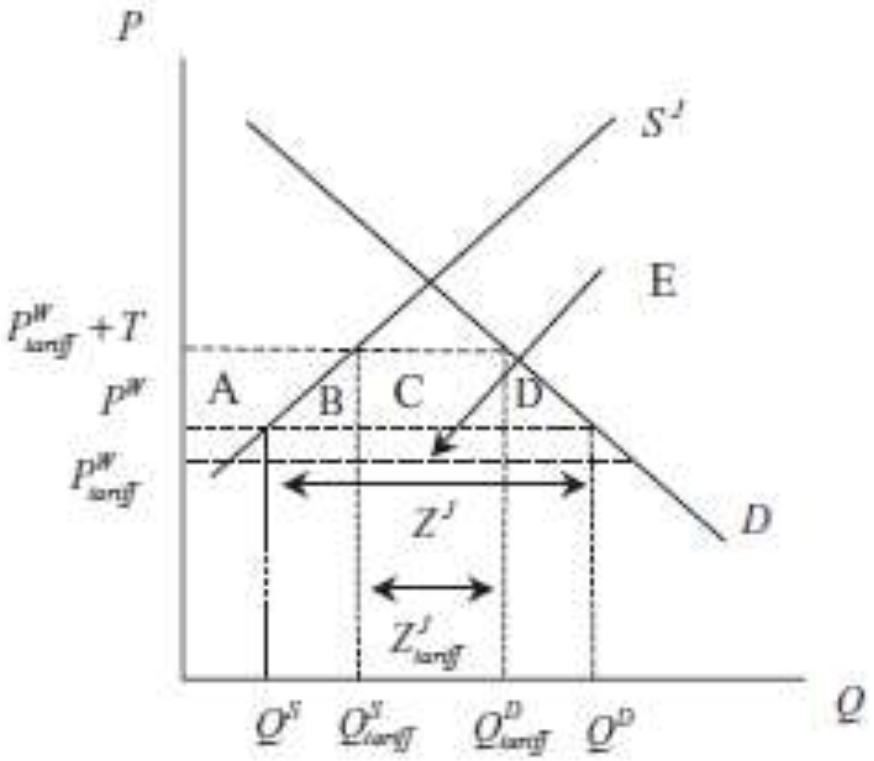

Figure 6.3. The Terms-of-Trade Effect of Japan's Tariff

$$N = A + (C + E) - (A + B + C + D) = -(B + D) + E$$

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Tariff Graph

- Tax goes to gvt: on imports only, between prices = C
- **Net Welfare Effect**
- N = A + C – (A + B + C + D) = -(B + D)
- N.b. Net effect on suppliers is also an effect on employment, so when assessing the effects, one takes this into account as well as supplier revenue
- But, a tariff will lead to excess global supply, and therefore a fall in world prices, which might make gains more in the short run
- Thus, we add a section E – to represent **terms-of-trade effects**
- However, Vietnam might then retaliate, hurting Japan's motorcycle sector
- This is called a 'trade war' and this is always welfare reducing
- (I kept the version from last edition, where it was labelled 6.3, because it has the welfare effects equation beside it – in your books it's 7.3)

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Quotas

- A Quota is a different way to limit imports
- It does not attempt to impose a price increase
- It simply tries to limit ‘how many’
- So it limits Q, rather than P
- Normally administered by a system of import licenses
- This says that only people with licenses can import, and it says how many per license
- Licenses can be granted to domestic importers, or to foreign exporters
- Rents either stay in the country or go out
- Rents are represented by C – which can either be domestic benefit or a foreign benefit – depending on what the politicians want

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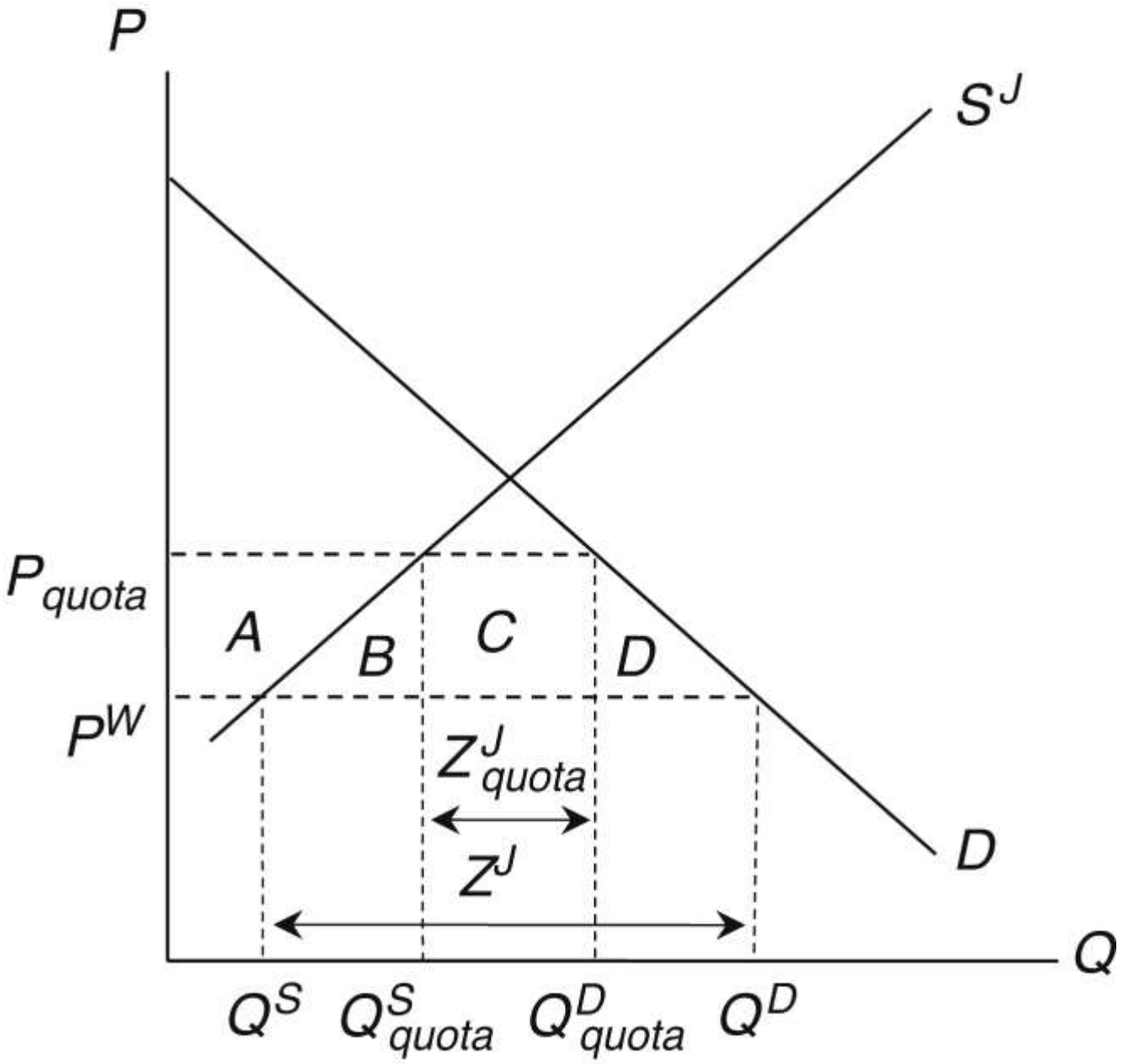

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With the above in mind, we can address the question of the net welfare effect of the quota. In the case of import licenses allocated to *domestic* importers, the area C is a transfer from domestic consumers to domestic importers. Area C is a loss to consumers and a gain to importers for a net effect of zero for Japan as a whole. Our net welfare effect is just like a specific tariff, equal to the quota premium $P_{quota} - P^W$, that results in an import level of Z^I_{quota} (known as the *equivalent tariff*):

$$N = A + C - (A + B + C + D) = -(B + D) \tag{6.3}$$

In the case of import licenses allocated to *foreign* exporters, area C is a transfer from domestic consumers to these foreign exporters. It is no longer a net loss of zero, because the loss to consumers is not offset by a gain to domestic importers. Our net welfare effect is simply the gain to firms less the loss to consumers:

$$N = A - (A + B + C + D) = -(B + C + D) \tag{6.4}$$

In this case, the quota is worse than a tariff that results in an import level of Z^I_{quota}.

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In English…

- A quota limits supply, which increases price
- (You've seen quota graphs with a "wedge," but this graph analyses the welfare of the system after the wedge drives the price up)
- When the price goes up, from Pw to Pquota
- This is a welfare loss for consumers
- Which equals A+B+C+D
- Of course suppliers gain A – which offsets this a bit, but not much

- 'If C is gained by domestic importers (who get licenses to sell imported goods), then the welfare gain is negative B + D
  - A goes to domestic suppliers, C goes to domestic suppliers, but total surplus falls by B and D

- If licenses are granted to foreign suppliers, then C goes to 'foreigners' and the net welfare gain is negative B + C + D
  - Again A goes to domestic suppliers, but now C is lost as well (but might be considered a political gift, with other benefits)

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In sum:

Tariff: unambiguous net welfare loss due to consumer surplus loss outweighing gains in producer surplus and government revenue

Tariff with terms-of-trade effects: ambiguous net welfare effect due to terms of trade gain (fall in world price) potentially outweighing the efficiency loss

Domestic-allocated quota: unambiguous net welfare loss due to consumer surplus loss outweighing gains in producer surplus and quota rents

Foreign-allocated quota: unambiguous net welfare loss that exceeds that of the domestic-allocated quota case and equivalent tariff

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International Trading Regimes (Ch 8)

- What is the **WTO**?
- Its precursor is **GATT**
- General Agreement on Tariffs and Trade
- This was established during WWII, as part of Bretton Woods
- Bretton Woods was described in more detail last week, as an attempt by the US to ween the world off of colonialism, and to promote free trade instead of land and market grabbing.
- The purpose was to keep countries trading together, b/c economists already realized in the 1940s that this would increase global welfare (Ricardianism)—and, more importantly to the politicians, it would hopefully prevent more trade wars, and countries operating in autarchy, which they believed had made WWII more likely
  - This is what motivated Japan to conquer Korea, China, SE Asia, Indonesia; and Germany to conquer E. Europe, and Italy to attempt an African empire.
- BW's free trade regime paralleled decades of the greatest global GDP growth of all time, and the near elimination of global poverty, until it began to unravel in the mid 2010s.

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GATT

- The purpose of GATT is to promote international trade
- This means, reducing costs
- And reducing non-tariff measures, which are a combination of hidden costs and absolute obstacles
- GATT is identified by various ‘rounds’
- In different cities, with different goals, and different numbers of countries (generally expanding)
- Doha Round stalls, and is ‘dead’ by 2014

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Name of round	Years	Number of countries	Auspices
Geneva	1947	23	GATT
Annecy	1949	29	GATT
Torquay	1950–1951	32	GATT
Geneva	1955–1956	33	GATT
Dillon	1960–1961	39	GATT
Kennedy	1963–1967	74	GATT
Tokyo	1973–1979	99	GATT
Uruguay	1986–1994	117	GATT
Doha Round (*failed*)	2001–2015	Approximately 160	WTO

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GATT

- First principle: that of nondiscrimination
- It puts trading partners in categories, with the idea that all in each category should be treated the same
- Eventually, everyone will be in the best category, which is MFN—most favored nation
- So products from ‘MFNs’ should be treated the same amongst all member nations
- Second principle: National treatment-- means that all products within a country should be treated the same, with respect to taxation etc., whether imports or domestically produced
- GATT also prohibits **quotas** or any other quantitative restriction on trade
- Tariffs are preferred to quantity distortions

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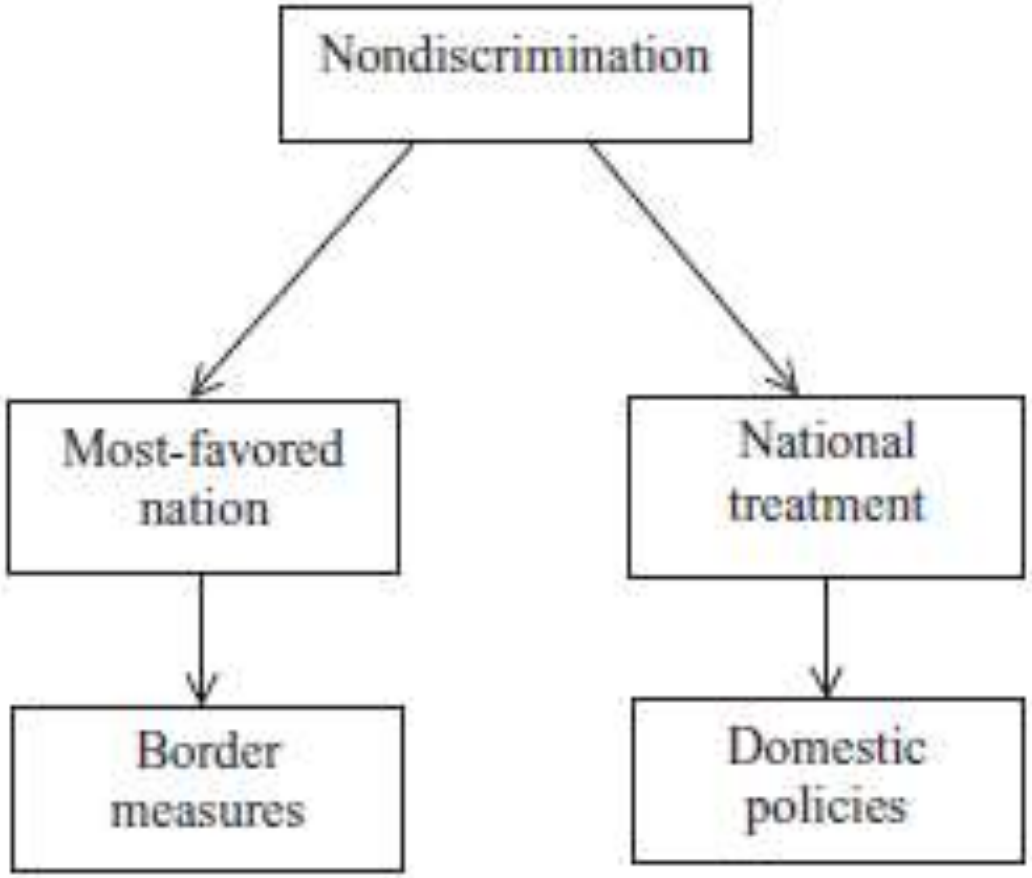

Figure 7.1. The Nondiscrimination Principle

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GATT

- US and then W. Europe wanted exemptions
- Esp agriculture, clothing, and other textiles
- These are the first things that developing economies tend to turn to for production
- So developing world seeks a stacked game
- Third and final principle is **fair trade**
- Subsidies, countervailing duties and antidumping duties
- CVD and AD can be imposed if a country is dumping or producing at an unfair advantage… but this can easily be abused

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The Marrakesh Agreement is actually the "Marrakesh Agreement Establishing the World Trade Organization." Therefore, the stipulations of this agreement are formally an element of the WTO, and the new GATT (known as GATT 1994) has been folded into the institutional structure of the WTO. The Marrakesh Agreement and the WTO are sometimes referred to as a "tripod" in that it primarily addressed the following three areas:

Trade in Goods, governed by GATT 1994, including an Agreement on Agriculture and an Agreement on Textiles and Clothing
Trade in Services as specified in the General Agreement on Trade in Services (GATS)
Intellectual Property as specified in the Agreement on Trade-Related Aspects of Intellectual Property Rights (TRIPS)

The Marrakesh Agreement also included a WTO charter. It established the WTO as a legal international organization and stipulated that "The WTO shall provide the common institutional framework for the conduct of trade relations among its members."[8] The charter also defined the functions of the WTO, including to facilitate the implementation, administration, and operation of the multilateral trade agreements; to provide a forum for negotiations among members concerning multilateral trade relations; to administer disputes among members; and to cooperate with the International Monetary Fund and World Bank.

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WTO Functioning

- The next slide shows the administrative structure of the WTO, which is housed in Geneva
- Trade in Goods: **Tarification**
  - Turning quotas and other NTMs into tariffs is a major goal
- Trade in Services
  - Has four modes of operation

    Mode 1 is when service providers don't move-i.e. consulting via zoom

    Mode 4 is when they travel, i.e. executives

Mode 1: cross-border trade
Mode 2: movement of consumers
Mode 3: commercial presence or foreign direct investment (FDI)
Mode 4: movement of natural persons

- TRIPS: Trade in Intellectual Property Rights
  - Most contentious (Brazil and India oppose)
  - Can lead to drugs being v. expensive in developing countries
  - How many 'rights' should be protected? To what extent?

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Body	Composition	Function
Ministerial Conference	Representatives of all members.	Meets at least once every two years. Carries out functions of WTO. Makes decisions and takes actions.
General Council	Representatives of all members.	Meets between the meetings of the Ministerial Conference. Establishes rules and procedures. Discharges responsibilities of the Dispute Settlement Body. Discharges responsibilities of the Trade Policy Review Body.
Council for Trade in Goods	Representative of all members.	Oversees the functioning of the multilateral agreements of Annex 1A.
Council for Trade in Services	Representative of all members.	Oversees the functioning of the multilateral agreements of Annex 1B.
Council for Trade-Related Aspects of Intellectual Property Rights	Representative of all members.	Oversees the functioning of the multilateral agreements of Annex 1C.
Dispute Settlement Body	Representative of all members.	Establishes panels, adopts panel and Appellate Body reports, maintains surveillance of implementation of rulings and recommendations.
Dispute Settlement Panels	Three or five well-qualified governmental and/or non-governmental individuals.	Assists the Dispute Settlement Body by making findings and recommendations in dispute settlement cases.
Appellate Body	Seven persons, three of whom serve on any one case.	Hears appeals from panel cases.
Secretariat	Director general and staff.	Provides support for the activities of the member countries.

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The TRIPS agreement also sets out obligations for members structured around the six IP categories listed above:

1. *Copyrights.* Members must comply with the 1971 Berne Convention on copyrights. Computer programs are protected as literary works under the Berne convention, and the unauthorized recording of live broadcasts and performances is prohibited. The term of this protection is to be 50 years.
2. *Trademarks.* Trademarks of goods and services are to be protected for a term of no less than seven years. Provisions for the registration of trademarks must be made and are renewable indefinitely.
3. *Geographical indications.* Members must provide legal means to prevent the false use of geographical indications.
4. *Industrial designs.* Members must protect "independently created industrial designs that are new or original." This protection does not apply to "designs dictated essentially by technical or functional considerations." The protection of industrial designs must last at least 10 years.
5. *Patents.* The Agreement states, "patents shall be available for any inventions, whether products or processes, in all fields of technology, provided that they are new, involve an inventive step and are capable of industrial application." Exceptions to this do exist and include the protection of public order, and human, animal, and plant life. Patents are to be extended for at least 20 years, representing a harmonization to the high-income country standard.
6. *Layout designs of integrated circuits.* The distribution of protected layout designs, as well as integrated circuits embodying protected layout designs, is forbidden. This protection is to extend for at least 10 years.

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Dispute Settlement

- Remember, until 1994 GATT compliance was voluntary
- The Marrakesh Agreement gives the WTO teeth
- It can legally rule against an industry/company/country
- A dispute settlement procedure is listed in your book
- Questions re: environment, i.e., Mexican tuna fished ‘unsafely’
- Still a marginal issue for the WTO
  - Because Environmental protection always involves extra cost
- Doha saw rise of ‘G20’ incl Argentina, Brazil, China, India, S. Africa, who oppose European and US farmers’ exemptions – this helps cause the round to collapse
- Some have argued that China’s manipulation of its currency, which amounts to a “tariff on all imports, and subsidy on all exports” is a major reason why China’s trading partners lost enthusiasm for reducing their own tariffs…
- Policy Brief 11-3: The Elephant in the "Green" Room: China and the Doha Round

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Preferential Trade Agreements (Ch. 9)

- PTAs are essentially a violation of the MFN status inherent in GATT
- Because smaller or regional groups of countries will grant additional good treatment, vs. a larger group of MFNs on a multilateral agreement
- So we can oppose **multilateralism** (WTO/GATT) with **regionalism** (PTA)
- Types of PTA include **Free trade areas** (FTAs)
- And **Customs unions** (CUs)
- PTAs used to be called RTAs – Regional Trade Agreements
- But now there are more PTAs amongst non-contiguous countries (e.g., Canada-Chile)
- GATS = General Agreement on Trade in Services

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Type of PTA	Description	Number of notifications in force, 2019
GATT Article XXIV (FTA)	An agreement on the part of a set of countries to *eliminate* trade restrictions between themselves.	243
GATT Article XXIV (CU)	An agreement on the part of a set of countries to eliminate trade restrictions between themselves and to adopt a *common external tariff*.	21
Enabling clause	Allows PTAs in goods trade between developing countries.	57
GATS Article V	An agreement to reduce barriers to trade in services between a set of countries.	160
		Total notifications in force: 481 Total physical PTAs in force: 302

Note: This table includes double-counting between GATT and GATS notifications as well as in the case of accessions to existing agreements. Consult the WTO website for more current information.

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Steps to Regional Integration

Type	Description
Free trade area	An agreement on the part of a set of countries to *eliminate trade restrictions between themselves.*
Customs union	An agreement on the part of a set of countries to eliminate trade restrictions between themselves and to *adopt a common external tariff.*
Common market	An agreement on the part of a set of countries to eliminate trade restrictions between themselves, to adopt a common external tariff, and to allow the *free movement of labor and physical capital* between member countries.
Monetary union	A common market that adopts a *common currency* and adopts a *common monetary policy.*
Economic union	A monetary union that adopts a process of *domestic policy harmonization* in areas such as tax and spending policies and domestic regulation.

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PTAs and ROOs

- Note in previous slide, that the types of PTA listed tend to be in ascending order of economic cooperation
- In an economic union, the countries remain politically separate, but try and harmonize not only their currency, but also all laws regarding trade; they also allow free movement of labour and capital
- In the next slide, your book discusses Rules of Origin – the idea that it's not very easy to determine where a good comes from given modern manufacturing methods.
- So elaborate laws have to be established to determine this
- These can also be used to exclude products—e.g. as your book says NAFTA automobile ROOs can work against Mexico

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One issue that inevitably arises in the design of PTAs in the form of FTAs is how to determine whether a product is from a partner country. In an FTA, a product can be imported into a low-tariff member and then resold in a high-tariff member, a process known as *tariff rate arbitrage*.[8] To protect against tariff rate arbitrage, FTA members usually establish **rules of origin** (ROOs).[9] As outlined by Krishna (2009), ROOs can be defined using four criteria. The first of these is the amount of *domestic content* of the good, measured either in terms of value added or in direct, physical terms. The second is in terms of a *change in tariff heading* (CTH) where the good must move from one tariff category to another during a production process in an FTA member country. The third is in terms of *specified processes* (or tasks) that outline the actual production processes that must take place within the FTA.[10] The fourth approach is in terms of *substantial transformation*, a loosely defined term that can vary from one instance to another. In many respects, FTAs are defined by their ROOs, and an understanding of them is therefore a key part of understanding any particular FTA. Further, empirical evidence suggests that they have significant impacts.[11] The case of automobile ROOs in the North American Free Trade Agreement (NAFTA) is considered in the accompanying box.

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Trade Creation and Trade Diversion

- PTAs can reduce tariffs across the board, in which case you will trade with the lowest-cost country
- Or it can remove tariffs from the lowest cost trading partner
- This is called '**trade creation**' because it enhances international trade (it's not creating trade from nothing – there was already an import trade - so it's a bit of a misnomer)
- Or, by reducing tariffs from a high cost country, while keeping them on products from a low cost country, you artificially shift trade from low to high cost source
- This is called '**trade diversion**'

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Trade Creation and Trade Diversion

- The point of the following graphs is that there are different welfare effects from preferential trade with high and low cost sources
- If you reduce tariffs from a high cost country, but keep tariffs on a low cost country's goods, it might make you trade with the high cost country, when it would actually be more beneficial to remove tariffs from the low cost country
- ?? Take a minute to work that out logically!
- Bottom line: PTAs can cause you to trade with higher cost countries
- And therefore can be worse for your country's welfare

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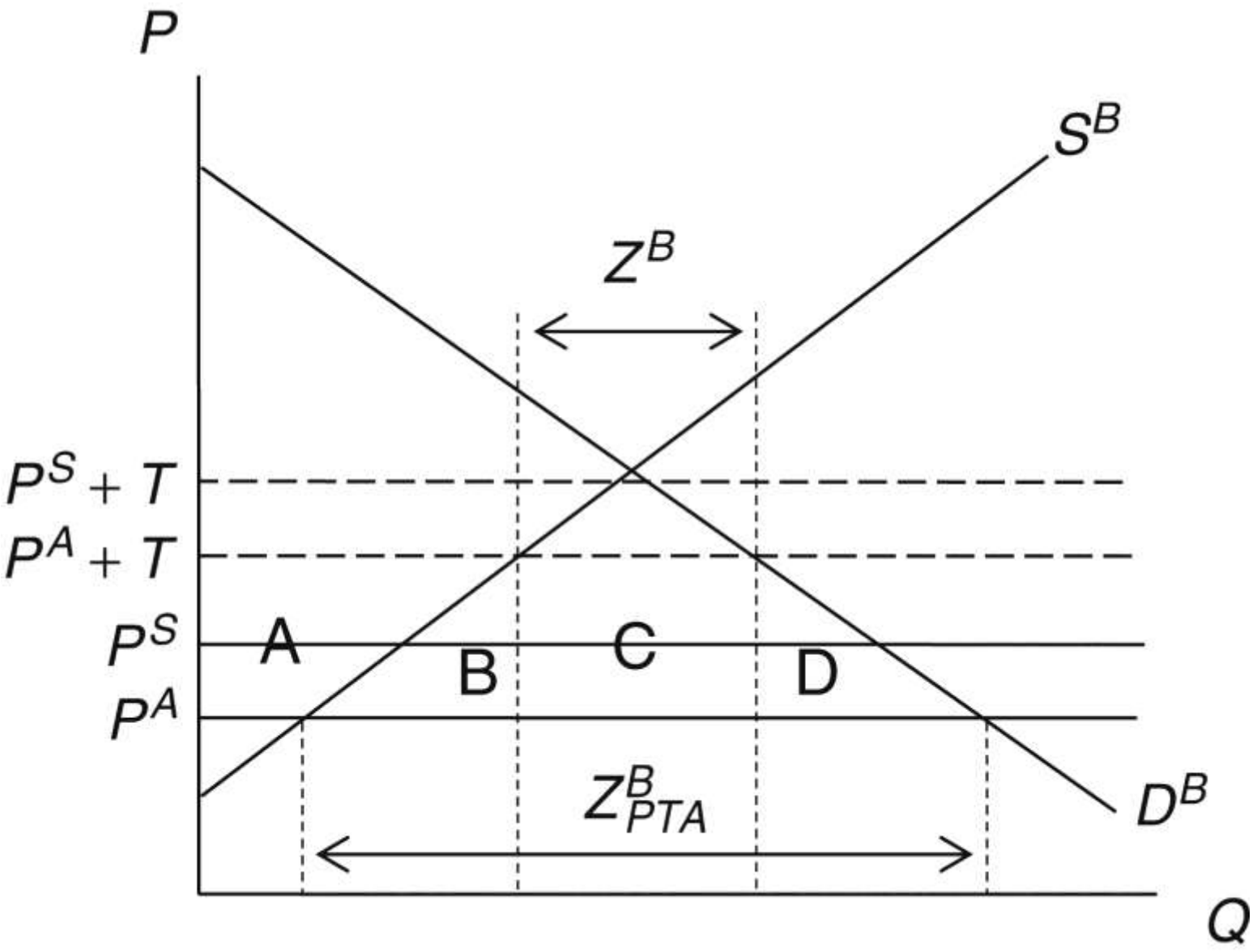
Trade Creating PTA



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Trade-Creating PTA

- This graph assumes that you are Brazil
- You could trade with Argentina, or El Salvador (S)
- Sb and Db are Brazilian supply and demand (they meet at autarky)
- Note Price in Argentina already is lower
- This graph assumes there were already tariffs on all trading partners
- And therefore you were already trading with Argentina
- But if you reduce tariffs on both countries, you will continue to trade with Argentina
- But, your volume of trade goes up, because price goes from Pa+T to Pa
- Imports go from Zb to Zb PTA

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Trade-Creating PTA

- So you increase your volume of trade with Argentina because of this PTA
- We switch from Argentina + T to Argentina w/o T
- Welfare change is ABCD = but who gets what?
- A = Brazilian producer surplus fall
- C = government tariff revenue falls
- A + B + C + D = increased consumer surplus
- Net welfare = B + D

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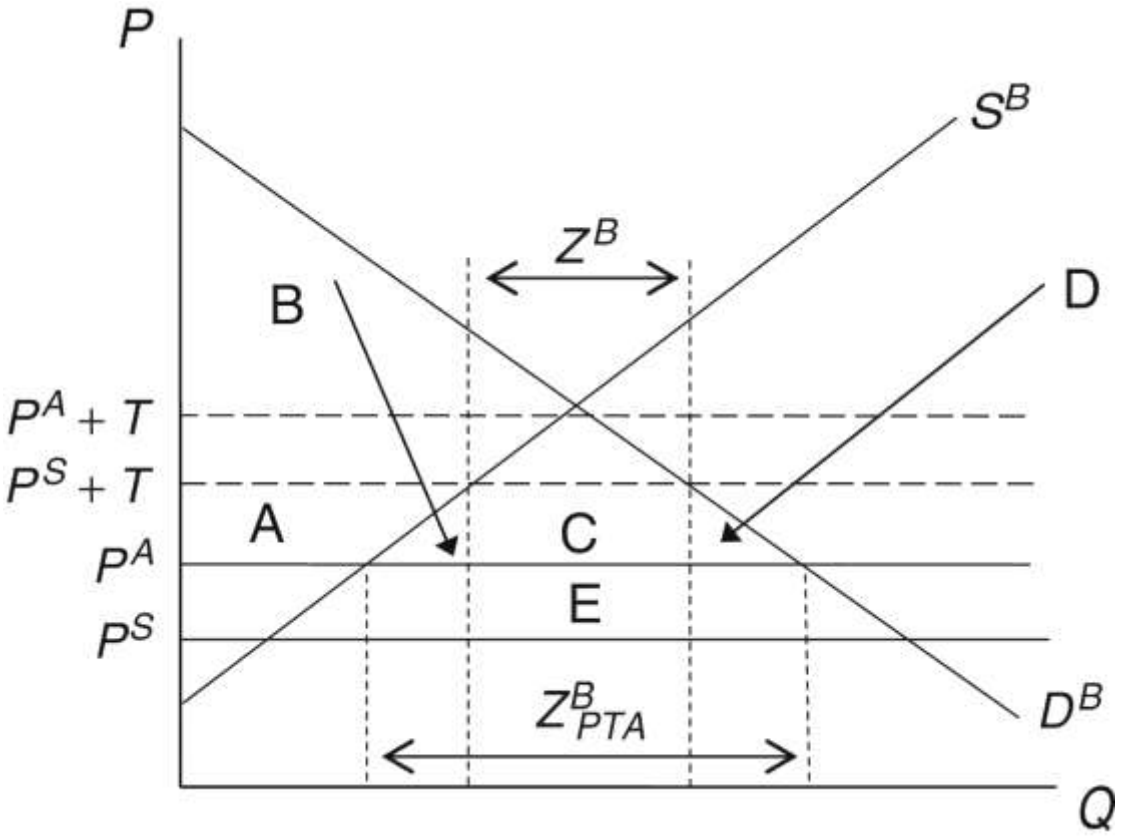

Trade-Diverting PTA

As a result of the PTA with Argentina, consumer surplus in Brazil increases by area A + B + C + D in Figure 8.2. Producer surplus falls by A, and government revenue falls by C + E. The net increase in welfare is therefore B + D − E.

Let's summarize this:

Consumer surplus:	A + B + C + D
Producer surplus:	−A
Government revenue:	−C − E
Net welfare:	B + D − E

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Trade-Diverting PTA

- In this case, we assume that El Salvador is the lower-cost source,
- But you still make a PTA with Argentina
- We assume they were trading with El Salvador w Tariff before
- But now switch to Argentina without tariff
- Because **Pa is lower than Ps + T**
- This is why it's called "trade diversion"
- You're losing A as producer surplus
- You're gaining ABCD as consumer surplus
- Note that you lose C+E, because you lose tariff from El Salvador (which was square CE, but now there is no tariff)
- Net gain is B + D
- But… because you're also losing E, and B and D are smaller than E, then you have a net loss from trade diversion that you did not have with trade creation

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Examples of PTAs

- The most famous are:
- European Union
- NAFTA
- Mercosur
- ASEAN
- These often exist because it’s easier to do these than a large multi-lateral agreement; sometimes also because of common concerns/culture, and/or proximity
- It will be up to you to learn the details!

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Year	Initiative	Treaty	Members added
1951	European Coal and Steel Community	Treaty of Paris	Belgium France Germany Italy Luxembourg Netherlands
1958	European Economic Community	Treaty of Rome	
1965	Institutional reform	Brussels Treaty	
1973	Enlargement		Denmark Ireland United Kingdom
1981	Enlargement		Greece
1986	Institutional reform	Single European Act	
1986	Enlargement		Portugal Spain
1992	European Union	Treaty on European Union (TEU), or the Maastricht Treaty	
1995	Enlargement		Austria Finland Sweden
1997	Institutional reform	Treaty of Amsterdam	
1999	European Monetary Union		United Kingdom, Sweden, and Denmark not included
2001	Institutional reform	Treaty of Nice	
2002	Common EMU currency: the euro		United Kingdom, Sweden, and Denmark not included
2004	Enlargement		Cyprus Czech Republic Estonia Hungary Latvia Lithuania Malta Poland Slovakia Slovenia

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Year	Initiative	Treaty	Members added
2007	Enlargement		Bulgaria Romania
2007	EU constitution	Lisbon Treaty	
2013	Enlargement		Croatia
2016	Brexit vote	United Kingdom votes to eventually leave the EU	

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EU

- European Economic Community from 1957
- 1992: Common Market: barriers to labour and capital removed
- But, this is not true to this day – mostly a goal
- Maastricht 1992 also saw initiatives in foreign and security policy
- Monetary Union: officially from 2002, but actually sooner
- Some research suggests that the EU and regional PTAs have resulted in trade creation – but surprisingly… very little has been done about net welfare!!! (which also shows that economists are ideologically wedded to the idea without having actual data in many cases)

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NAFTA

- Began as an automotive industry initiative
- 1989 – modern globalization movement kicks into high gear
- Mexico is included with US and Canada
- Signed 1992
- Leads to flow of capital to Mexico which caused currency crisis and bailout in 1994
- Collapse of Mexican small farming sector
- Good for Canadian automotive sector
- Now, data says that overall trade effects are “highly” positive
- Especially in automotive, and in FDI to Mexico
- Still problems with ROOs keeping Mexican products out of US

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A PTA among Argentina, Brazil, Paraguay, and Uruguay was launched in 1991 with the Treaty of Asunción, named after the capital city of Paraguay. This PTA, the Common Market of the South, or Mercosur, took on Chile and Bolivia as associate members in 1996 and 1997, respectively. Peru, Colombia, and Ecuador became associate members is 2003–2004. Venezuela signed a membership agreement in 2006, but at the time of this writing, finalization of this status is awaiting ratification in the Brazilian and Paraguayan parliaments. The name Mercosur is somewhat misleading, because it suggests that the PTA among the four core members is an actual common market with the free movement of labor and physical capital (see Table 8.2). This is not the case, however. Mercosur entered into force in 1995 as an FTA. A customs union was to be finalized by 2006. Free movement of labor and physical capital is a long way off.[24]

The formulation of Mercosur has had a positive impact on the amount of trade among its four core members, and the technology profile of traded goods is higher for trade within Mercosur than for trade between Mercosur and the rest of the world. That said, however, intra-Mercosur trade is low by world standards. Mercosur has also been troubled by two asymmetries. First, Argentina and Brazil dwarf Paraguay and Uruguay in economic size. Consequently, the smaller members find themselves somewhat sidelined from the core relationship between Argentina and Brazil. Second, for a number of years, there was a fundamental macroeconomic asymmetry between Argentina and Brazil. After its crisis of 1998, the Brazilian real became a freely floating currency, whereas until its crisis in 2002, the Argentine peso was rigidly pegged to the U.S. dollar under a currency board arrangement (see Chapter 16). These asymmetries caused a great deal of friction between Argentina and Brazil and complicated the functioning of Mercosur.[25]

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ASEAN

- 1967: Brunei, Cambodia, Indonesia, Laos, Malaysia, Myanmar, Philippines, Singapore, Thailand, Vietnam
- Turned to economic integration
- ASEAN Free Trade Area by 1992 onwards
- ASEAN has an AFTA (Asian Free Trade Area) – extending it to other regional countries
- Reduce intra-PTA tariffs and nontariff measures
- ROOs utilized to determine production
- Investment/Capital flows not as developed

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Other Developments

- Mercosur: posting modest trade gains from its Latin American partnership
- TPP – Designed to bring half a billion people of the Pacific Rim together; signed by Obama in 2016; Trump leaves treaty; Biden also does not seem interested, because he has an initiative on “creating US jobs”;
- (Biden approves or sharply increases Trump 1.0 tariffs with China; also sanctions Russia.)
- ASEAN has also expanded to AFTA – Asian Free Trade Agreement, a component of ASEAN, to reduce tariff and non tariff measures within trading partner region
- GATS-plus and TRIPS-plus, are more recent agreements on trade in services, and trade in intellectual property, which take modern technology into account; up to 160 individual agreements registered with WTO

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